

FOUNDERS AGREEMENT (TEMPLATE)

DRAFT FOR DISCUSSION — NOT LEGAL ADVICE — REVIEW WITH KENYAN ADVOCATE

THIS FOUNDERS AGREEMENT is made on [DATE]

BETWEEN:

- [FOUNDER 1 NAME] of [FOUNDER 1 ADDRESS] ("Founder 1"); and
- [FOUNDER 2 NAME] of [FOUNDER 2 ADDRESS] ("Founder 2");
(together the "Founders" and each a "Founder")

AND:

- [COMPANY LEGAL NAME], a company incorporated in [JURISDICTION: Kenya] with registration number [COMPANY REGISTRATION NUMBER] and registered office at [REGISTERED ADDRESS] ("the Company")
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RECITALS

- A. The Founders have established or are establishing the Company to develop and commercialise **KOVA** (Kova Agent), a business intelligence operating system for African SMEs.
- B. The Founders wish to record their respective rights, obligations, equity holdings, roles, vesting, intellectual property, and governance arrangements.
- C. This Agreement is subject to review and amendment by qualified legal counsel in Kenya before execution.
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1. DEFINITIONS

- 1.1 "**Bad Leaver**" means a Founder who ceases involvement due to fraud, gross misconduct, material breach of this Agreement, or voluntary resignation without Board consent within [X] months of a material financing event.
- 1.2 "**Good Leaver**" means a Founder who ceases involvement due to death, permanent incapacity, mutual agreement with the Board, or termination without cause.
- 1.3 "**Intellectual Property**" means all code, software, documentation, algorithms, prompts, datasets, trade secrets, trademarks, domain names, social media accounts, and other IP relating to KOVA.
- 1.4 "**Reserved Matters**" means decisions listed in Clause 8.
- 1.5 "**Vesting Period**" means **four (4) years** from the **Vesting Start Date** with a **one (1) year cliff**.
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2. EQUITY ALLOCATION

2.1 On the Effective Date, the authorised share capital and initial allotments shall be:

Shareholder	Shares	% Ownership (fully diluted pre-option pool)
Founder 1	[NUMBER]	[EQUITY %]%
Founder 2	[NUMBER]	[EQUITY %]%
Total	[TOTAL]	100%

2.2 An employee share option pool of [OPTION POOL %]% shall be created [pre / post]-money at the first external financing round, diluting all shareholders pro rata unless otherwise agreed in writing.

2.3 No Founder shall issue, transfer, charge, or encumber shares except as permitted under this Agreement and the Company's Articles of Association.

3. VESTING

3.1 Each Founder's shares shall be subject to reverse vesting over the **Vesting Period**.

3.2 **Cliff:** No shares vest until **twelve (12) months** from the Vesting Start Date ([VESTING START DATE]). Upon completing the cliff, **25%** of each Founder's allocated shares vest.

3.3 **Thereafter:** Remaining shares vest in **equal monthly instalments** over the following **thirty-six (36) months**.

3.4 **Acceleration (single trigger):** Upon a Change of Control approved by the Board, [X]% of unvested shares shall vest immediately for Good Leavers, subject to investor SHA terms.

3.5 **Unvested shares on departure:**

Event	Treatment
Good Leaver	Retains vested shares; unvested shares forfeited or repurchased at [nominal / fair market] value per Articles
Bad Leaver	All unvested shares forfeited; vested shares subject to right of first refusal at [DISCOUNT %]% of fair value

3.6 Founders shall execute a **Reverse Vesting Agreement** or equivalent mechanism as advised by counsel.

4. ROLES AND RESPONSIBILITIES

4.1 **Founder 1** — [FOUNDER 1 NAME]

Field	Detail
Title	Chief Executive Officer
Responsibilities	Product vision, fundraising, strategy, key partnerships, final product decisions
Time commitment	[FULL-TIME / X%]
Reporting	Board (when constituted)

4.2 Founder 2 — **[FOUNDER 2 NAME]**

Field	Detail
Title	[CTO / COO / CMO — TBD]
Responsibilities	[TECH / OPS / GROWTH — TBD]
Time commitment	[FULL-TIME / X%]
Reporting	CEO

4.3 Each Founder shall devote best efforts to the Company and shall not engage in any competing business without Board approval (see Clause 10).

5. DECISION RIGHTS

5.1 **CEO authority:** Day-to-day operations, hiring below **[SALARY THRESHOLD]**, vendor contracts below **KES [THRESHOLD]**, product releases, and pilot customer agreements.

5.2 **Founder majority:** Marketing spend above **KES [THRESHOLD]**, pricing changes, material partnerships, and annual budget approval.

5.3 **Reserved Matters (unanimous Founder consent until Board is constituted):**

1. Issue or transfer of shares or creation of option pool
2. Admission of new shareholders or investors
3. Borrowing above **KES [THRESHOLD]** or granting security over Company assets
4. Sale, licence, or disposal of core Intellectual Property
5. Merger, acquisition, or winding-up
6. Amendment of Articles or this Agreement
7. Related-party transactions above **KES [THRESHOLD]**
8. Litigation settlement above **KES [THRESHOLD]**

5.4 Upon investor financing, Reserved Matters may be superseded by the **Shareholders Agreement (SHA)**.

6. INTELLECTUAL PROPERTY

6.1 Each Founder assigns to the Company all Intellectual Property created before and after incorporation relating to KOVA, pursuant to a separate **IP Assignment Deed**.

6.2 Founders warrant that they have the right to assign such IP and that it does not infringe third-party rights.

6.3 Founders shall promptly disclose all inventions, code, and brand assets to the Company.

6.4 Moral rights are waived to the extent permitted by law.

7. CONFIDENTIALITY

7.1 Founders shall keep confidential all non-public Company information, investor discussions, customer data, and technical architecture.

7.2 Obligation survives termination for **five (5) years**, except trade secrets which survive indefinitely.

7.3 Permitted disclosure: legal requirement, investors under NDA, professional advisers.

8. NON-COMPETE AND NON-SOLICIT

8.1 During involvement and for **twelve (12) months** after ceasing to be a Founder, each Founder shall not:

- (a) Directly operate a competing **AI social media / SME marketing SaaS** in **Kenya, Uganda, Tanzania, Nigeria, or South Africa** without Board consent; or
- (b) Solicit Company employees or contractors.

8.2 Restraint must be **reasonable in scope, geography, and duration** — counsel to adjust per Kenya law.

8.3 Founders may hold passive investments < **[X]%** in non-competing entities with disclosure.

9. COMPENSATION AND EXPENSES

9.1 Founder salaries: **[KES AMOUNT / nil until seed close]** per month, subject to Board approval post-financing.

9.2 Reasonable business expenses reimbursed with receipts per Company expense policy.

9.3 No guaranteed dividends; distributions per Articles and SHA.

10. FINANCING AND TRANSFER RESTRICTIONS

10.1 Founders shall cooperate in good faith on seed fundraising target **USD [150,000–300,000]**.

10.2 **Right of first refusal:** Before any share sale to a third party, the selling Founder must offer shares to other Founders and the Company pro rata.

10.3 **Drag-along / tag-along:** To be set out in SHA at first institutional round.

10.4 Founders shall not bind the Company to investor terms without authority.

11. DEADLOCK

11.1 Operational deadlock: CEO casting vote on day-to-day matters after **[7]** days of good-faith discussion.

11.2 Reserved Matter deadlock: mediation in Nairobi within **[14]** days; if unresolved, **[buy-sell / Russian roulette — counsel to advise]** mechanism.

12. DISPUTE RESOLUTION

12.1 **Governing law:** Laws of **[JURISDICTION: Kenya]**.

12.2 **Forum:** Courts of **[Nairobi, Kenya]** / arbitration at **[NCIA / other — TBD]** per counsel advice.

12.3 Parties shall attempt good-faith negotiation for **thirty (30) days** before formal proceedings.

13. TERM AND TERMINATION

13.1 This Agreement continues while a Founder holds shares or serves as officer unless superseded by SHA.

13.2 Clauses 6, 7, 8, 10, and 12 survive termination.

14. GENERAL

14.1 Entire agreement (subject to Articles, IP Deed, and future SHA).

14.2 Amendments in writing signed by all Founders.

14.3 Severability.

14.4 Notices to registered addresses and **[EMAIL]**.

SIGNATURES

Founder 1	Founder 2	For the Company
[FOUNDER 1 NAME]	[FOUNDER 2 NAME]	[DIRECTOR NAME]
Signature	_____	_____

[DATE]	[DATE]	[DATE]
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